

Olist Sales Analytics – Key Insights

1. Overall Sales Performance

- Total Sales reached approximately **15.42M**.
- Total Orders reached approximately **96.48K**.
- Total Customers reached approximately **96.10K**.
- Average Order Price is approximately **74.90**.
- Sales show an overall **upward trend from 2016 to 2018**, despite some monthly fluctuations.

Key Insight:

The business demonstrates strong overall sales growth over time, indicating an expansion in sales activity and customer demand.

2. Sales Performance by Month

- **May** appears to be the strongest month when comparing the same month across the three years.
- **September** appears to be one of the weakest months across the three-year period.
- **November 2017** was also a particularly strong individual period, with sales reaching approximately **1M**.

Business Insight:

The company should investigate the reasons behind strong-performing periods, including:

- Best-selling products
- Top-performing categories
- Customer behavior
- Potential marketing campaigns
- Seasonal demand

For weaker periods such as September, the company could consider:

- Promotional campaigns
- Discounts

- Special offers
- Customer reactivation campaigns

These are potential explanations and should be validated with additional analysis.

3. Product Category Performance

The analysis shows significant differences in sales performance across product categories.

Top-performing categories include:

1. **Health & Beauty**
2. **Watches & Gifts**
3. **Bed, Bath & Table**
4. **Sports & Leisure**
5. **Computers & Accessories**

Key Insight:

Health & Beauty is one of the strongest categories by sales, making it an important category for continued investment and optimization.

Lower-performing categories should also be investigated to understand:

- Demand levels
 - Pricing
 - Product variety
 - Marketing performance
 - Customer preferences
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4. Product Portfolio

- Approximately **33K unique products** are available.
- The dataset contains approximately **74 product categories**.
- Average product weight is approximately **2.28K grams**.
- Maximum product weight is approximately **40.43K grams**.

Key Insight:

The large and diverse product portfolio provides significant opportunities for product-level and category-level performance analysis.

5. Delivery Performance

Delivery Variance was calculated as:

Actual Delivery Date – Estimated Delivery Date

Therefore:

- **Negative value** → Order was delivered before the estimated date.
- **Positive value** → Order was delivered after the estimated date.

The average Delivery Variance is approximately:

-13 Days

This means that orders were delivered approximately **13 days earlier than the estimated delivery date on average**.

Key Insight:

The company demonstrates strong delivery performance, with actual delivery generally occurring significantly earlier than the estimated delivery date.

6. Delivery Status

The delivery analysis shows that the overwhelming majority of orders were delivered successfully.

- More than **90% of orders were delivered early**.
- Only a relatively small percentage of orders were delivered late.
- Cancelled orders represent a very small percentage of total orders.

Business Insight:

Olist demonstrates strong fulfillment and delivery performance. The company should maintain this performance while investigating the causes of late and cancelled orders.

7. Delivery Variance by Product Category

The analysis of Delivery Variance by Product Category shows that several categories are delivered significantly earlier than expected.

Some categories show delivery performance of approximately **10–17 days earlier than the estimated date**.

Categories related to areas such as:

- **Service & Security**
- **Parts / Supplies**

show particularly strong early-delivery performance.

Key Insight:

Certain product categories consistently outperform their estimated delivery dates, indicating strong fulfillment performance.

However, further analysis would be required to determine whether this is related to:

- Product characteristics
 - Seller performance
 - Shipping companies
 - Geographic location
 - Inventory availability
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9. Customer Segmentation – RFM Analysis

Customer behavior was analyzed using **RFM Analysis**:

- **Recency** → How recently the customer purchased.
- **Frequency** → How often the customer purchases.
- **Monetary** → How much the customer spends.

Customers were segmented into:

- New Customers
- Lost Customers
- At Risk
- Loyal Customers
- Champions

10. New Customers

There are approximately **54K New Customers**, making this the largest customer segment.

Key Insight:

The company is successful at acquiring new customers, but the main challenge is converting these customers into repeat and loyal customers.

Recommended Actions:

- Personalized offers
- Follow-up campaigns
- Discounts
- Product recommendations
- Loyalty programs

Goal:

New Customer → Loyal Customer → Champion

11. Lost Customers

There are approximately **36K Lost Customers**, representing a significant portion of the customer base.

Key Insight:

The large number of Lost Customers represents a major opportunity for customer reactivation.

Instead of relying only on acquiring new customers, the company can attempt to recover existing customers through:

- Win-back campaigns
- Personalized discounts
- Email campaigns
- Product recommendations
- Special offers based on previous purchases

12. At-Risk Customers

At-Risk customers are customers who may become Lost Customers if no action is taken.

Key Insight:

At-Risk customers should be targeted before they become inactive.

Recommended Actions:

- Limited-time offers
- Personalized discounts
- Loyalty rewards
- Personalized product recommendations
- Reminder campaigns

Goal:

At Risk → Loyal Customer

instead of:

At Risk → Lost Customer

13. Champions

The number of Champions is approximately **1K customers**, which is relatively small compared with the overall customer base.

Key Insight:

Champions are highly valuable customers and should receive special attention to prevent churn.

Recommended Actions:

- VIP offers
- Exclusive discounts
- Early access to promotions
- Loyalty rewards

- Personalized communication

The goal is to maintain their loyalty and increase their **Customer Lifetime Value (CLV)**.

14. Recency Analysis

One of the most important customer insights is that a large percentage of customers have not purchased recently.

Approximately **75% of customers fall into the 90+ Days Recency group**.

This means that a significant portion of customers have not made a purchase for more than 90 days.

Key Insight:

Customer retention and reactivation should be major strategic priorities.

The company should investigate:

- Why customers stop purchasing
 - Whether certain product categories have higher churn
 - Whether there are seasonal effects
 - Whether pricing affects repeat purchases
 - Whether customers need incentives to return
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15. Frequency vs. Monetary Value

The analysis shows a **positive relationship between Frequency and Monetary Value**.

In general:

The more frequently customers purchase, the higher their monetary value tends to be.

Key Insight:

Increasing purchase frequency can be an important driver of customer revenue.

Recommended Actions:

- Loyalty programs
- Cross-selling

- Upselling
 - Personalized recommendations
 - Targeted promotions
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• **Final Conclusion**

- **The Olist analysis reveals a business with strong sales growth, excellent delivery performance, and a broad product portfolio. However, the most significant business opportunity lies in customer retention. While the company successfully acquires a large number of new customers, the high number of Lost Customers and the large 90+ day Recency segment indicate that converting, retaining, and reactivating customers should be a major strategic priority.**
- **At the same time, strong-performing product categories, high purchase frequency, and seasonal sales patterns can be leveraged to increase revenue and customer value. Maintaining the strong delivery performance while improving customer retention could significantly strengthen overall business performance.**